B, I, 42, 15

3 March 1952

[redacted]

Washington 25, D. C.

Attention: [redacted]

Dear Sir:

Reference is made to your memorandum dated 8 February 1952, [redacted] regarding classification placed on Joint [redacted]-CIA project.

This Agency is cognizant of the fact that the [redacted] will establish the project on an unclassified basis and monitor it with their standard procedures. However, it is desired that in the interest of security considerations, CIA's connection with this project be classified "Secret."

It is believed that the procedural instructions indicated below will cover the security interests of CIA and will minimize the amount of classified correspondence in connection with the project:

(1) Correspondence between [redacted] and CIA, indicating the relationship of CIA to the project should be classified Secret. This correspondence will be limited to the basic memorandum transmitted by CIA to [redacted], a memorandum to CIA from [redacted] in reply, indicating acceptance of the project, and four quarterly reports providing a brief statement of the financial status of the project.

(2) No other formal communications between [redacted] and CIA are considered necessary unless difficulty arises in connection with the administration or carrying out of the terms of the contract by the contractor.

(3) No correspondence between the contractor and CIA is deemed necessary or desirable since he is working under the direction of [redacted].

[redacted]

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Review of technical progress reports and the work of the contractor will be worked out informally by the CIA liaison officer in accordance with arrangements previously established with representatives. All contractor's reports may be unclassified and can be handled by [redacted] in accordance with their standard procedures, except that they will not be published or otherwise released for unclassified dissemination outside [redacted] until they have been reviewed by the CIA liaison officer.

It is believed that the procedures noted herein are compatible with the standard [redacted] procedures for handling unclassified projects and will not require a facility clearance or access to classified correspondence by the contractor. Similarly, the classified correspondence between [redacted] and CIA is minimized to include only that which is essential to protect CIA security interests.

U. S. Treasury check in the amount of $34,230 to cover cost of the project for a period of one year has been delivered to [redacted] Fiscal Division,

Very truly yours,

[redacted]

Comptroller

[redacted]

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Signer's Copy

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